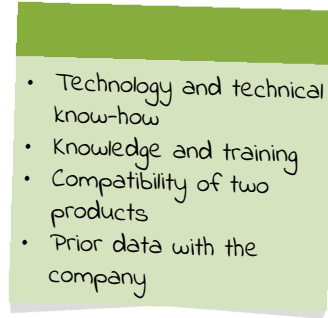
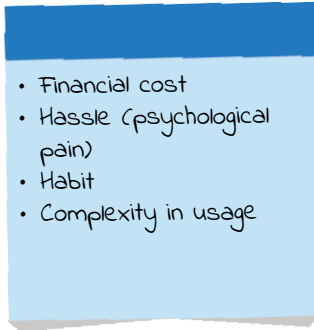


Some causes of high switching costs:



Analysts must identify the switching costs, as high switching costs limit the ability of a substitute product to take away demand from any given industry.

7. The final factors that should be analyzed are the exit of firms from an industry and the exit barriers along with it.

As supply begins to overwhelm demand and prices begin to fall, firms lose their profitability. Some industries even become loss-making ones, thus encouraging exits by multiple players.

- This exit by players limits supply within an industry and thus restores profitability for the remaining firms.
- However, the ability of firms to exit the business and reduce supply is determined by the exit barriers in the industry and the time taken to exit.

Some common exit barriers:



- **Investment in specialist equipment** that cannot be used in other industries tends to impede leaving the industry.
- **Highly specialized skills by industry participants** that cannot be utilized in other industries impede exits from the industry.
- **High levels of dedicated fixed costs** may also impede leaving the industry.